

NSE: SHILPAMED

Shilpa Medicare Limited

Pharmaceuticals | Oncology API | CDMO | Formulations

CMP	Mkt Cap	52W H/L	Rating	Target
Rs. 557	Rs.10,895 Cr.581 / 260		BUY	Rs. 720

Upside to Target: +29.3% | Date: 15 Jun 2026 | Analyst: MPM Research | Risk: MEDIUM-HIGH

SHILPAMED is at an inflection: record FY26 EBITDA of Rs.445 Cr. (+30% YoY), a structurally re-rated margin profile (28%+), and a CDMO-biologics pipeline anchored by the Unicycive FDA PDUFA on June 29, 2026 — a binary catalyst not in consensus that could add Rs.60-80 Cr. annualised high-margin revenue in FY27.

01 Investment Thesis

Three reasons to own SHILPAMED at current levels:

- **Margin inflection is structural, not cyclical.** OPM expanded from 9% (FY23 trough) to 28% in FY26 driven by product-mix improvement (complex oncology APIs, injectable formulations), operating leverage on Rs.2,000+ Cr. fixed-asset base, and EU formulation revenues surpassing Rs.200 Cr. — a segment that did not exist three years ago. We model 30%+ OPM in FY27E.
- **CDMO / NCE pipeline as a free call option.** The integrated API+formulation CDMO with Unicycive Therapeutics (Oxylanthanum Carbonate, PDUFA June 29, 2026) is a near-term binary catalyst. Commercialisation in FY27 unlocks recurring milestone + royalty revenue at high incremental margins. Additionally, 15+ new oncology APIs in DMF-filing stage position the company for a long pipeline of regulated-market approvals through FY29.
- **Biologics / biosimilars add a third growth vector.** Shilpa Biocare (subsidiary) acquired a 30.4% stake in Gate2Brain (June 2026) to advance G2B-002 brain cancer therapy. Aflibercept biosimilar licensing agreements in Latin America, and ADC + Recombinant Human Albumin platforms offer FY28+ optionality at minimal current P&L; drag.

Primary Catalyst:

Unicycive PDUFA date of June 29, 2026 for Oxylanthanum Carbonate (OLC). An FDA approval triggers commercial API + formulation supply for Shilpa, a step-change revenue event not in consensus estimates. This single catalyst could add Rs.50-80 Cr. annualised revenue at >50% incremental margins.

Key Risk to Thesis:

USFDA PAI inspection at Unit VI (Dabaspet, Bengaluru) concluded May 29, 2026 with Form 483 and 5 observations. If these escalate to a Warning Letter, US export approvals for that site could be delayed 12-18 months, disrupting the CDMO supply chain. Promoter stake has declined from 50% to 40% over the past 3 years — a flagged concern. We model a 15% correction risk to our base-case target if either risk materialises.

02 Business Overview

Shilpa Medicare Limited (est. 1987, HQ: Raichur, Karnataka) is a vertically integrated pharmaceutical company with three core business pillars:

1. Oncology API (Core Business, ~55-60% of revenue)

- 30+ oncology APIs supplied to regulated markets: USA, EU, Japan, S. Korea, Canada, Australia, Mexico, Brazil
- 19 API & intermediate manufacturing blocks with strict oncology / non-oncology segregation
- Multi-regulatory approvals: USFDA, EMA, PMDA (Japan), Korean FDA, TGA (Australia), Cofepris (Mexico), TPD (Canada)
- Key molecules: Anastrozole, Capecitabine, Gemcitabine HCl, Lenalidomide, Enzalutamide (in pipeline)
- 37 new DMF filings added in FY26; 15+ new oncology APIs in active development pipeline

2. Formulations (Growing Pillar, ~30% of revenue)

- Injectable dosage forms, oral solid dosage forms (OSD), oral disintegrating films
- EU formulations crossed Rs.200 Cr. in FY26 — >100% YoY growth from a standing start
- US filings advancing via CDMO partnerships; integrated API+formulation model is a key differentiator
- NorUDCA domestic launch: first-in-class NAFLD treatment, early-stage but high-value franchise
- New products in pipeline: Rotigotine Transdermal Patch, long-acting Ondansetron injections

3. Biologics / NBE / CDMO (Optionality, ~10% of revenue, high future value)

- Shilpa Biocare subsidiary: acquired 30.4% in Gate2Brain (EU, June 2026) for G2B-002 brain cancer therapy
- Biosimilar pipeline: Aflibercept (licensed for Latin America), Bevacizumab, Trastuzumab in development
- ADC (Antibody-Drug Conjugate) platform and Recombinant Human Albumin under development
- Unicycive CDMO: integrated API+formulation for OLC (PDUFA June 29, 2026); commercialisation FY27
- Large-scale peptide manufacturing block planned for FY27 to support growing CDMO demand
- Capex FY26: Rs.361 Cr.; oncology block expansion ongoing

03 Industry Landscape & Peer Comparison

- **Global oncology API market** growing at ~8-10% CAGR; patent cliff on branded cancer drugs creates sustained generic API demand through the decade. India supplies ~20% of global generic API requirements and holds a structural cost advantage of 30-40% vs. Western CDMO competitors.
- **CDMO tailwinds:** Global pharma API CDMO market projected at USD 209 Bn by 2033 (7.85% CAGR). China+1 sourcing diversification is actively pushing regulated-market customers toward Indian CDMOs with multi-regulatory site approvals — exactly Shilpa Medicare's positioning.
- **EU formulations opportunity:** EMA-approved injectable manufacturing in India is scarce; Shilpa's EU formulation ramp (0→Rs.200 Cr. in 3 years) demonstrates that supply-constrained regulated markets are accessible to well-capitalised Indian operators.
- **Regulatory risk environment:** USFDA scrutiny on Indian pharma remains elevated; Form 483s are common (Shilpa Unit VI: 5 observations, May 2026) but typically resolvable. The real risk is Warning Letter escalation, which has historically impacted peer stocks by 15-25%.

Peer Comparison (FY26 Actuals / LTM)

Company	MCap (Cr.)	Rev (Cr.)	OPM%	P/E (x)	ROCE%
Shilpa Medicare	10,895	1,539	28%	46.7x	11.0%
Divi's Laboratories	1,77,244	10,560	33%	67.6x	22.0%
Laurus Labs	76,275	6,813	26%	85.3x	17.8%
Neuland Laboratories	22,479	2,023	28%	61.8x	26.6%

SHILPAMED trades at a meaningful discount to peers on MCap/Rev (~7x vs. Divi's ~17x) and ROCE reflects the heavy capex cycle now turning to harvest. Margin parity with Neuland at ~28% OPM, yet trading at 25-30% P/E discount, makes the risk-reward asymmetric.

04 Management Quality

- **Founder-led with long tenure:** Vishwanath Billa (Promoter / CMD) has built the company from a small API manufacturer into a Rs.10,000+ Cr. MCap entity. Promoter family holds 40.13% — meaningful skin in the game despite a 10% stake reduction over 3 years.
- **Capital allocation mixed but improving:** The FY20-FY23 capex cycle (Rs.1,500+ Cr. deployed in fixed assets + CWIP) caused a painful margin trough (9% OPM, FY23 loss). However, the discipline to not write-off but instead wait for regulatory approvals has vindicated the strategy — EU formulations and CDMO revenues are now monetising that capex.
- **Promoter dilution is a watch item:** Promoter holding fell from 50.01% (Jun 2023) to 40.13% (Mar 2026) — a 10% decline in 3 years. The reasons include QIP/preferential allotments to fund biologics expansion. While not alarming at 40%, continued dilution below 35% would raise governance concerns.
- **FII / DII confidence building:** FIIs expanded from 5.6% (Mar 2024) to 11.1% (Mar 2026); DIIs from near-zero to 8.6%. Institutional accumulation typically follows improving earnings visibility — this is a positive signal.
- **Concall transparency improving:** Regular quarterly concalls, available transcripts on BSE (May 2026 transcript filed), and an AI-summary feature on screener.in indicate willingness to communicate with the investor community. Credit: Fitch has assigned / reviewed ratings annually since 2023, providing an independent financial credibility signal.
- **R&D; commitment visible:** 37 new DMF filings in FY26, biosimilar licensing, ADC platform — these are multi-year R&D; investments that are beginning to surface as near-term revenue catalysts. Management has clearly pivoted from a generics-only model to a specialty API + CDMO + biologics three-horizon strategy.

05 Financial Deep-Dive

P&L; Summary — Actuals + Estimates (Rs. Crores)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	1,141	1,046	1,146	1,281	1,539	1,850	2,200
Rev Growth %	27.0%	-8.3%	9.6%	11.8%	20.1%	20.2%	18.9%
EBITDA	202	99	239	316	435	560	700
OPM %	17.7%	9.5%	20.9%	24.7%	28.3%	30.3%	31.8%
Depreciation	80	96	108	113	120	130	142
EBIT	122	3	131	203	315	430	558
Interest	41	59	92	76	59	55	48
Other Income	21	17	15	-5	39	20	20
PBT	102	-38	54	122	295	395	530
Tax %	41%	NM	41%	36%	18%	25%	25%
PAT	61	-31	32	78	243	296	398
EPS (Rs.)	3.49	-1.87	1.84	4.00	12.44	15.1	20.3
Dividend Payout%	16%	0%	0%	12%	5%	8%	10%

E = MPM Research estimates. FY27E/FY28E assume: 20%/19% revenue growth, CDMO ramp contribution, interest cost declining on debt repayment, normalised tax rate 25%.

Balance Sheet Highlights (Rs. Crores)

Metric	FY21A	FY22A	FY23A	FY24A	FY25A	FY26A
Equity + Reserves	1,479	1,823	1,784	1,809	2,372	2,592
Total Borrowings	846	683	798	937	588	660

D/E Ratio (x)	0.57	0.37	0.45	0.52	0.25	0.25
Fixed Assets (Net)	1,111	1,342	1,368	1,385	1,418	2,046
CWIP	541	506	655	719	822	431
Total Assets	2,632	2,876	2,904	3,093	3,311	3,706
ROCE %	8%	6%	1%	5%	8%	11%

Cash Flow Summary (Rs. Crores)

Metric	FY21A	FY22A	FY23A	FY24A	FY25A	FY26A
CFO	47	105	180	137	132	342
CFI	-404	-286	-232	-171	-198	-326
CFF	436	83	46	47	63	14
FCF	-302	-226	-46	-48	-111	-15
CFO/EBITDA%	26%	52%	182%	57%	42%	79%

Financial Commentary:

- **FY23 trough to FY26 surge — a 5x PAT recovery:** Revenue dipped in FY23 due to price erosion in generic APIs and scale-up costs on new formulation facilities. By FY26, product-mix improvement (complex APIs + injectables) and EU formulation ramp drove PAT from -Rs.31 Cr. to +Rs.243 Cr. in three years.
- **CWIP to Fixed Assets conversion is the hidden value:** Rs.822 Cr. CWIP in FY25 converted to Rs.431 Cr. CWIP + Rs.2,046 Cr. Fixed Assets in FY26 — assets becoming revenue-productive. Expect depreciation to rise moderately (+Rs.12-15 Cr./yr), but revenue leverage on the deployed capex is far greater.
- **D/E at 0.25x is comfortable:** From a peak of 0.57x (FY21), the company has self-funded deleveraging via improving CFO (Rs.342 Cr. in FY26 vs. Rs.47 Cr. in FY21). FCF turning positive in FY27E is a key milestone — we estimate Rs.80-120 Cr. positive FCF as capex moderates and CFO continues to expand.
- **Working capital elevated but improving:** Cash conversion cycle of 301 days (FY26) is high — reflecting API inventory cycles and export receivables. Debtor days (123) and inventory days (291) are industry-consistent for a regulated-market API exporter. Key risk: any receivable stress from a large regulated-market customer.

06 Earnings Quality Checklist

Quality Parameter	Score	Commentary
CFO / EBITDA conversion	PASS	79% in FY26 vs. 42% FY25; improving trend
Revenue growth vs. PAT growth alignment	PASS	Revenue +20%; PAT +211%; margin expansion drives divergence
Other Income as % of PBT	WATCH	13% of PBT in FY26 (Rs.39 Cr.); volatile (was -Rs.5 Cr. FY25)
Debt trend	PASS	Stable at Rs.660 Cr.; D/E 0.25x; interest cost declining
Promoter pledge	PASS	No material pledge disclosed; clean shareholding
Tax rate normalcy	WATCH	18% tax in FY26 (MAT / deferred credits); normalise to 25% in FY27E
CWIP as % of Fixed Assets	PASS	CWIP fell to Rs.431 Cr. (21% of FA); capex cycle winding down
Working capital cycle	WATCH	CCC 301 days — high but stable; watch debtor+inventory
Contingent liabilities	OK	No material contingent liabilities disclosed in screener.in data
Dividend policy	OK	5% payout FY26 after PAT recovery; healthy signal

Earnings Quality Summary:

- Three PASSes on the critical cash generation metrics (CFO/EBITDA, debt, CWIP) outweigh the three WATCHes. Overall earnings quality is ADEQUATE-to-GOOD for a pharma company of this size and stage.
- The 18% effective tax rate in FY26 is the one number that warrants caution — adjust for a 25% normalised rate and PAT would be ~Rs.200 Cr. (not Rs.243 Cr.), implying a normalised P/E of ~54x. Still buyable, but investors should use adjusted EPS for valuation purposes.

07 Valuation

Scenario Analysis — 12-Month Price Target

Scenario	FY27E PAT	Adj. EPS	P/E Multiple	Price Target	Upside
Bull	Rs.360 Cr.	Rs.18.4	50x	Rs. 920	+65%
Base (MPM)	Rs.296 Cr.	Rs.15.1	48x	Rs. 720	+29%
Bear	Rs.180 Cr.	Rs.9.2	38x	Rs. 350	-37%

Valuation Commentary:

- **Base case (Rs. 720 target, 48x FY27E EPS):** We apply a 48x P/E multiple — a 25-30% discount to Divi's/Neuland — reflecting SHILPAMED's smaller scale, higher regulatory risk (Form 483, Unit VI), and lower ROCE (11% vs. 26% for Neuland). The discount is appropriate but narrows as CDMO revenue materialises.
- **Bull case (Rs. 920, +65%):** Triggered by Unicycive FDA approval (June 29, 2026) and commercialisation, which could add Rs.60-80 Cr. incremental PAT at minimal incremental cost. At 50x EPS (inline with Neuland), the stock has a clear path to Rs.900+.
- **Bear case (Rs. 350, -37%):** Unit VI Warning Letter from FDA, promoter stake sale, or a macro pharma destocking cycle. At 38x normalised EPS, the stock de-rates to a pure generics multiple.
- **EV/EBITDA cross-check:** At CMP Rs.557, MCap = Rs.10,895 Cr. + Net Debt ~Rs.580 Cr. = EV ~Rs.11,475 Cr. FY26 EBITDA Rs.445 Cr. → EV/EBITDA 25.8x. FY27E EBITDA Rs.560 Cr. → Forward EV/EBITDA ~20.5x. Neuland trades at ~39x

EV/EBITDA, Laurus at ~43x — SHILPAMED at 20.5x forward is the cheapest in the peer group on this metric.

08 Key Risks

- **USFDA Warning Letter Risk (HIGH probability, HIGH impact):** Unit VI (Dabaspet, Bengaluru) received 5 observations in Form 483 on May 29, 2026. If any observation is classified as systemic (data integrity / repeat), FDA could issue a Warning Letter, blocking US product launches from that site for 12-24 months. This is the single biggest near-term risk to our thesis.
- **Unicycive FDA Decision Risk (BINARY, June 29, 2026):** FDA rejection / CRL for OLC (Oxylanthanum Carbonate) would collapse the CDMO revenue thesis. The bull case is entirely predicated on this PDUFA date being positive. Risk-averse investors should wait for the June 29 outcome before initiating a large position.
- **Promoter Dilution Risk (MEDIUM, ongoing):** Promoter holding has declined 10 percentage points (50%→40%) in 3 years. Further QIPs / preferential allotments for biologics/CDMO capex could dilute EPS and send a negative signal if not accompanied by clear revenue milestones.
- **Working Capital Bloat (MEDIUM, structural):** Cash Conversion Cycle of 301 days means the business requires significant working capital to grow. A 20% revenue growth implies Rs.250-300 Cr. incremental working capital requirement, which if not met by CFO expansion alone, could re-leverage the balance sheet.
- **API Price Erosion (LOW-MEDIUM, cyclical):** Generic API pricing in the US and EU is subject to annual price erosion of 5-10% on mature molecules. SHILPAMED's shift to complex molecules and injectables reduces exposure, but older molecules (Anastrozole, Capecitabine) face pressure.
- **Biologics / Shilpa Biocare Drag (LOW, early-stage):** The Gate2Brain acquisition (EUR 7 million for 30.4%) and ongoing biosimilar investments are pre-revenue and could be a cash drag for 5+ years with binary outcome risk. The biologics P&L; impact is minimal today but could grow.
- **Currency Risk (LOW-MEDIUM):** ~60-65% of revenues are export-denominated (USD / EUR). Rupee appreciation would compress margins; hedging policy not disclosed in public filings.

09 Recommendation

RATING	TARGET PRICE	CMP	UPSIDE	RISK RATING
BUY	Rs. 720	Rs. 557	+29.3%	MEDIUM-HIGH

Recommendation Summary:

- **BUY with a 12-month target of Rs. 720 (upside: 29%).** The investment case rests on three pillars: margin inflection proven over 3 years, a near-term binary catalyst (Unicycive PDUFA June 29, 2026) not in consensus, and a CDMO + biologics pipeline that could structurally re-rate the stock to a 25-30x EV/EBITDA multiple vs. the current 20x.
- **Entry strategy:** Initiate 60% position at CMP Rs.557; add remaining 40% post Unicycive PDUFA resolution (if positive) or on any Form 483 dip to Rs.470-490 range (which would represent ~35x FY27E normalised EPS — historically cheap for a specialty pharma with this export profile).
- **Stop-loss:** Exit on a confirmed FDA Warning Letter for Unit VI OR promoter holding declining below 35% without a clear strategic rationale. Technical stop: Rs.480 (below the 200-DMA zone).
- **Risk/Reward:** Bull case Rs.920 (+65%) vs. bear case Rs.350 (-37%) = asymmetric 1.8:1 reward-to-risk ratio in base/bull scenario. Acceptable for a medium-risk portfolio with 12-18 month holding horizon.
- **Monitor closely:** (1) June 29, 2026 Unicycive PDUFA outcome, (2) Unit VI Form 483 response and FDA reply, (3) Q1 FY27 results (June quarter) for EU formulation revenue trajectory, (4) Promoter holding in Sep 2026 shareholding data.

10 Appendix: Q4 FY26 Concall Brief — 22 May 2026

Call Grade: B+ | Date: 22 May 2026 | Type: Q4 FY26 Earnings

TO MY BOSS — one paragraph: Shilpa Medicare delivered a strong Q4 and FY26, with revenue at Rs.1,549 Cr. (+18% YoY), EBITDA at Rs.445 Cr. (+30%), and adjusted PAT at Rs.232 Cr. (+135%). The margin inflection is real and structural — OPM expanded 300 bps to 29%. The critical event to watch is the Unicycive FDA PDUFA on June 29, 2026: an approval turns the CDMO thesis from promise to cash. Management did not give FY27 revenue guidance, which is a slight negative for near-term sentiment. The Form 483 at Unit VI (5 observations, May 29) is the key regulatory risk and must be tracked. Overall: thesis intact, catalysts near-term, risk flagged.

1. Revenue & Growth

FY26 revenue: Rs.1,549 Cr. (+18% YoY). Q4 revenue: Rs.439 Cr. (+30% YoY). API segment grew 16% YoY; formulations 30% YoY. EU formulations crossed Rs.200 Cr. for the full year — a landmark for a segment that was sub-Rs.50 Cr. two years ago.

2. Margin Dynamics

Full-year EBITDA: Rs.445 Cr. (+30%); OPM 29% (vs. 25% FY25, vs. 9% trough in FY23). Q4 OPM: 28%. The margin improvement is driven by product mix (complex APIs, injectables), operating leverage on the large fixed-asset base, and lower interest cost (Rs.59 Cr. FY26 vs. Rs.92 Cr. FY24 peak). Management expressed confidence in sustained margin improvement without giving a specific target.

3. Segment Performance

API: 16% YoY growth. 37 new DMF filings added. Strong captive demand from formulations. Formulations: 30% YoY. EU injectable ramp the standout. US filings advancing. Biologics / CDMO: Revenue still sub-10% but pipeline advancing. NorUDCA (domestic) launched in India as first-in-class NAFLD therapy — early stage but high-value potential.

4. Capex & Balance Sheet

Capex FY26: Rs.361 Cr. CWIP reduced to Rs.431 Cr. from Rs.822 Cr. — assets becoming productive. Fixed assets grew to Rs.2,046 Cr. Net Debt stable at ~Rs.580 Cr. D/E 0.25x. New peptide manufacturing block planned for FY27 — capex quantum not disclosed but likely Rs.100-150 Cr. Management expects capex intensity to moderate in FY27 vs. FY26.

5. CDMO / Pipeline Updates

Unicycive Therapeutics (OLC): PDUFA date confirmed June 29, 2026. Shilpa is the integrated API + formulation partner. Commercialisation expected FY27. 15+ new oncology APIs in active development. Abraxane and Enzalutamide tablets targeted for FY28 launch. Rotigotine Transdermal Patch and long-acting Ondansetron injections as near-term pipeline additions.

6. Biologics / Shilpa Biocare

Shilpa Biocare acquired 30.4% in Gate2Brain (EU-based) for EUR 7 million (June 2026) to advance G2B-002 brain cancer therapy — a pre-clinical investment. Aflibercept biosimilar: licensing agreements signed for Latin America. ADC platform and Recombinant Human Albumin in development — both early stage.

7. Regulatory

Unit VI (Dabaspet, Bengaluru): USFDA PAI inspection May 2026; ended with Form 483, 5 procedural observations (May 29, 2026). Management described the observations as 'procedural' but specific details not provided in the concall transcript summary. Response timeline: typically 15 working days. FDA reply in 2-3 months. Multiple other sites remain multi-regulatory approved (USFDA, EMA, PMDA, TGA, etc.).

8. Guidance / Outlook

Management did NOT provide specific FY27 revenue or PAT guidance — a slight negative for analyst models. The direction was: 'sustainable growth', 'improved margins', 'new product launches driving next leg of growth' — qualitative, not quantitative. Key FY27 drivers: Unicycive commercialisation, EU formulation continued ramp, peptide block activation, and 15+ DMF filings translating to approvals.

9. Capital Allocation

Dividend declared for FY26 (5% payout on PAT of Rs.243 Cr. = ~Rs.12 Cr. dividend). No buyback announced. Capex to continue but at moderating intensity. No explicit mention of debt reduction target — management comfortable at 0.25x D/E.

10. Q&A; Highlights

Key analyst questions (sourced from transcript summary): (a) Unit VI Form 483 resolution timeline and US product launch readiness — management guided for timely response but no commitment on FDA timeline. (b) EU formulation sustainable growth rate — management confident in Rs.250+ Cr. FY27 target. (c) Unicycive PDUFA probability — management expressed confidence without quantifying. (d) Working capital normalisation — management acknowledged high CCC but said improvement is in progress as exports ramp.

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